Salesforce committee decision

To the buy-side portfolio manager and investment committee. Valuation date August 27 2026 at the US close. Security NYSE CRM ordinary common shares; USD; current diluted-share proxy 824M. Intended horizon 12-24 months; fund holds no position. Five explicit rolling years end July 2027-2031. Prepared with disclosed Codex AI assistance on October 19 2026.

Decision and committee ask

Watch/defer at the historical $252.05 share price. The causal FCFF scenarios support approximately **$75-$300 per share**, with a base case near **$195**. This is an underwriting range, not a confidence interval or a single target. Do not initiate now. Approve a watch-list review and the specific evidence work below. A prospective entry below roughly **$156** must also meet the operating and bridge conditions; price alone is insufficient.

Evidence and interpretation

Salesforce's reported LTM revenue is 43,938M and EBIT 8,735M, reconstructed as FY26 plus H1FY27 less H1FY26. We normalize the partial-year Informatica contribution by 501M revenue and replace 720M restructuring with a recurring 0.5%-of-revenue reserve. Normalized revenue is 44,439M and EBIT 9,358M. Stock compensation remains an economic cost. LTM strategic-investment gains 4,245M are excluded from operating forecasts; investments enter the equity bridge once with realization haircuts. 10-K, July10-Q.

The base uses 9/9/8/7/6% subscription growth, EBITA margins 26.5%-29%,8% recurring compensation and 23.5% cash-tax proxy. EBITA excludes acquired amortization and retains depreciation/compensation. WACC is 8.98%, built from the August 27 ten-year Treasury 4.67%, assumed beta 1.15 and equity premium 4.5%,5.5% debt cost and market capital weights. Terminal growth 3% requires reinvestment at 20% incremental ROIC and a28% terminal EBITA margin; it does not capitalize the last year's cash flow without reinvestment. Treasury rate.

State	Approximate value	Why it differs
Low	$75	Weaker renewals/expansion,23%-24% EBITA,10.5% WACC,2% g; do not initiate.
Base	$195	Maturing subscription growth, margin gains subject to S&M budget,8.98% WACC,3% g.
High	$300	Stronger retention/new business,28%-32% EBITA,8.25% WACC,3.5% g.

What can change the decision

About 72% of base enterprise value is the discounted terminal value. Increasing WACC 100bp lowers base value to about$165; the action remains defer. Reverse DCF requires roughly 7.4 percentage points more EBITA margin across the five-year and terminal paths: about 34% in year 1 and 35% terminal, after economic compensation, with base revenue, WACC, growth and reinvestment policies held fixed. That conditional margin hurdle, rather than an AI adoption slogan, is the principal research question.

The base bridge adds surplus cash after a2%-of-revenue operating reserve and an estimated 27-day cash roll; it adds 50% of 11,324M strategic investments, subtracts 36,800M market-value borrowings plus 633M finance leases, then divides common equity by 824M diluted proxy shares. Operating rent remains an expense, so operating-lease liabilities are not deducted again. The market debt quote is dated July 31; a33M-share overhang stress lowers value to about$187. Refresh both share and debt/cash evidence before any trade.

Peer GAAP P/E implies about$135-$647 and EV/annual revenue about$215-$515. Adobe is a mature subscription reference with a large creative/prosumer business; ServiceNow has faster growth and a much higher multiple. Annual fiscal ends differ and historical GAAP EPS predates current repurchases. EV/revenue ignores margins. These wide, qualified comparisons cannot be averaged into the DCF. The Informatica control transaction's announced equity value net of an existing stake is not a clean EV numerator; no transaction-implied range is asserted.

Risks and reversal triggers

The named churn/collections stress cuts retention to 90%, expansion to 6%, new business to 2%, adds 15 collection days and reduces deferred-revenue funding by 5 revenue points. It flows through all statements, reduces value to about$83 and changes the action to **do not initiate**. The first failure is the joint weak-growth/weak-margin underwriting rule; it is not a payment default or a covenant conclusion. Hosting costs 3 margin points worse reduce value to about$177. A5100M acquisition-cash/no-benefit case is a separate adverse integration test.

An initiation review requires price <=80% of the then-current base value, two quarters of at least 8% organic subscription growth and at least 22% GAAP EBIT margin, completed ASR/share verification, and a supported closing/PPA/integration case for pending Contentful/Fin. Analyst monitors each earnings release; PM reviews within five business days. Suspend initiation if two quarters show growth<3% with EBIT margin<21%, EBIT/interest<3x, cash<2000M, or a new funding need. These are analyst floors, not disclosed covenants. Rebuild the model on material tax, billing, compensation, financing or acquisition changes.

The analysis is historical and uses normalized statements with cash-equivalent stock compensation, fixed lease replacement and provisional WACC/dilution assumptions. No genuine Salesforce AI-off baseline/receipt, human locked prediction, or partner review was supplied. This limits research-ownership evidence and prevents a claim of full course completion. The named AI uses, source checks,22 automated tests and student obligations are in `Validation-and-AI-Use.pdf` and `STUDENT-ACTIONS.md`. The committee ask remains **watch/defer; no position now**.